

- rising health-care and prescription costs, and
- long-term care.

Retirees must preserve flexibility and liquidity to manage unplanned expenses. When attempting to budget over a long retirement period, it is important to include allowances for such contingencies.

## 6. Compounding inflation

Retirees face the risk that inflation will erode the purchasing power of their savings as they progress through retirement. Low inflation may not be noticeable in the short term, but it can have a big impact over a lengthy retirement, leaving retirees vulnerable. Even with just 3 percent average annual inflation, the purchasing power of a dollar will fall by more than half after twenty-five years, doubling the cost of living.

Sequence-of-returns risk is amplified by greater portfolio volatility, yet many retirees cannot afford to play it too safe. Short-term fixed-income securities might struggle to provide returns that exceed inflation, causing these assets to be quite risky in a different sense: they may not be able to support a retiree's long-term spending goals. Low-volatility assets are generally viewed as less risky, but this may not be the case when the objective is to sustain spending over a long time horizon. Even low levels of inflation can create dramatic impacts on purchasing power over a long period of time. Retirees must keep an eye on the long-term cumulative impacts of even low inflation and position their assets accordingly.

## 7. Declining cognitive abilities

Finally, a retirement income plan must incorporate the unfortunate reality that many retirees will experience declining cognitive abilities, which will hamper portfolio management and other financial decision-making skills. For the afflicted, it will become increasingly difficult to make sound portfolio investments and withdrawal decisions in advanced ages.

In addition, many households do not equally share the management of personal finances. When the spouse who manages the finances dies first, the surviving spouse can run into serious problems without a clear plan in place.